Pilot proposal kit

A 90-day pilot with one agency

Status: Draft v0.1 (2026-11-04), for Steve's review. Extension 4 of 10 (see the extensions overview). Recommended first partner: **HHS-OIG with CMS, on hospice and home health (HHS-1)**, with SBA OIG as the alternate. Everything below is written so the agency name and screen can be swapped.

Bottom line

A leader can say yes to 90 days, a small team, no new system in their boundary and a clear stop rule. This kit gives them exactly that: a week-by-week plan, the data-sharing paperwork as fill-in templates, the metrics that decide whether to scale, and the staffing on both sides.

- **Why HHS first:** the largest improper payment base ($28.8B Medicare fee-for-service, $37.4B Medicaid), the highest modeled return (see the ROI model), a live public problem (the 2026 hospice and home health moratorium) and an OIG that already runs data analytics.
- **Why SBA as the alternate:** the SBA work with Rosemary is the proof of method, the OIG knows the pandemic cases, and the data is already understood. It is the faster yes, but the smaller prize.
- **Stop rule:** at day 75, if the screen's top 5% does not contain known cases at five times the base rate, or reviewers confirm fewer than one in five leads as worth opening, the pilot ends and the report says why.

1. Scope

Item	HHS (recommended)	SBA (alternate)
Partner	HHS-OIG Office of Investigations and Office of Audit Services; CMS Center for Program Integrity	SBA OIG; Office of Capital Access
Screen	HHS-1 hospice and home health risk map, plus cluster scoring and exclusion matching	SBA-1 pandemic signals on 7(a) and 504, plus cross-program matching
Data from the agency	Medicare hospice and home health claims for two states (California, Minnesota is the suggested pair), 2022-2026; provider enrollment with owners	7(a) and 504 application and lender data, 2020-2026
Where analysis runs	Inside the OIG's or CMS's authorized environment, or the CMS Virtual Research Data Center	SBA OIG's environment

Item	HHS (recommended)	SBA (alternate)
Out of scope	Beneficiary-level contact, payment suspension decisions, any adverse action	Borrower contact, loan decisions

2. 90-day plan

Days	Work	Output	Agency time needed
0-10	Sign the memorandum of understanding and data use agreement; analysts complete suitability and access training; agree the known-case list for back-testing	Signed agreements; access granted	Counsel and privacy officer review (template below); 2 hours with the case lead
11-25	Load data; build the provider and owner spine; reproduce public-data HHS-1 results inside the environment	Data profile; reconciliation to published totals	Data steward, 2 hours a week
26-45	Run claim-level screens (billing ramp, length of stay, live discharge, shared owners, exclusion links); score clusters	First ranked list with reason codes	—
46-60	Back-test on known cases; hand review of the top 50 leads with OIG investigators	Lift and precision report	Two investigators, 1 day each
61-75	Tune; second review round of 50 new leads; decide on stop rule	Final metrics	Two investigators, 1 day each
76-90	Lead packages for the confirmed-worth-opening cases; results briefing; scale-up proposal or close-out report	Briefing, report, lead packages	Leadership briefing, 1 hour

3. Success metrics

Agreed before data arrives, and reported whatever the result.

Metric	Definition	Pass mark
Lift at 5%	Known-case rate in the top 5% of scores / overall rate	At least 5x (the review plan's release bar)
Reviewer precision	Share of the 100 reviewed leads the OIG rates worth opening	At least 20%
New detection	Share of worth-opening leads not already known to the OIG or CMS	At least 50%
Dollars at issue	Medicare payments to providers in worth-opening leads	Reported, not targeted
Time to lead	Days from data load to first reviewed lead list	45 or fewer
Catch rate vs break-even	Measured new detection against the ROI model's break-even rate	Above break-even
Burden	Agency staff hours used	80 or fewer



4. Staffing

Role	Our side	Time	Agency side	Time
Pilot lead	Lead (also the single point of contact)	50%	OIG Special Agent in Charge or Assistant IG sponsor	1 hour every 2 weeks
Data engineer	DE	100% days 0-45, then 50%	Data steward	2 hours a week
Analysts	AN x2 (one health-claims specialist)	100%	Two investigators for review	4 days total
Statistician	Part time, for validation and metrics	25%	—	—
Counsel and privacy	Our counsel	As needed	Privacy officer, counsel	Days 0-10

5. Template: memorandum of understanding (outline)

Fill in bracketed text; counsel on both sides should edit freely.

1. **Parties.** [Agency or OIG] and [our organization].
2. **Purpose.** A 90-day pilot to test whether [screen] identifies [program] payments at elevated risk of fraud, for review by [OIG].
3. **Authority.** [IG Act of 1978 as amended, 5 U.S.C. 401-424 / agency program integrity authority / Payment Integrity Information Act].
4. **Roles.** The agency decides every investigative and administrative action. We supply methods, analysis and lead packages.
5. **Data.** As listed in the data use agreement (attachment A).
6. **Environment and security.** Analysis inside [agency environment]; no data leaves it; outputs reviewed before export (attachment B).
7. **Personnel.** Named analysts; suitability and training before access.
8. **Confidentiality.** Leads and results are agency records; we publish nothing about the pilot without written approval, and only in aggregate.
9. **Cost.** [No cost to the agency / interagency agreement / contract vehicle].
10. **Term and termination.** 90 days from data access; either party may end with 10 days' notice; data access ends at term.
11. **Deliverables.** Section 2 outputs; final report within 15 days of term.
12. **Points of contact.**

6. Template: data use agreement (attachment A)

Field	Entry
Data owner and system of records	[System name and SORN number]
Routine use or authority for disclosure	[Routine use / OIG access / Privacy Act exception]
Files	[Claims, enrollment, owners], years [ ], states [ ]

Field	Entry
Fields	Listed in an appendix; minimum necessary for the screens
Identifiers	Provider identifiers in clear; beneficiary identifiers [excluded / hashed]
Location	[Environment]; no copies outside it
Users	Named analysts only
Retention	Destroyed or returned within 30 days of term, with a certificate
Linkage	No linkage to other data except [public files listed] without written approval
Re-disclosure	None
Breach reporting	To the agency within one hour of discovery, per OMB M-17-12
Publication	Aggregate statistics only, with cell suppression under 11, after agency review

7. Template: security and output review (attachment B)

- Work only inside the environment, on agency-furnished or approved devices.
- Outputs leave the environment only after the agency's data steward reviews them; lead packages go straight to the OIG case system.
- Model documentation travels with every score: inputs, tests, known limits and bias checks.

8. Leave-behind for the first meeting

One page: the problem (pitch HHS-1), what the public-data screen already shows, the 90-day plan, the three asks (data, two investigators for four days, a sponsor), the stop rule, and the ROI row from the business case. The site's agency brief PDFs supply the layout.

9. Questions for Steve

1. HHS-OIG first, or SBA OIG first because the relationship already exists?
2. Who on our side signs the memorandum?
3. Will we fund the pilot ourselves to remove the cost question?